

# ₹8,500 CR

Raised by Vedanta through a qualified institutional placement in FY25

## INVESTOR CONFIDENCE

In FY25, Vedanta raised ₹8,500 crore via a qualified institutional placement and ₹3,134 crore through HZL's offer for sale. Also, VRL recently announced the release of Vedanta encumbrances after the full repayment of a facility agreement.

Investor confidence reflected this turnaround—mutual fund holdings rose from under 1% in September 2023 to 8.19% in June 2025. Foreign portfolio investor ownership has remained in double digits for five straight quarters. That said, US short-seller Viceroy recently accused Vedanta of governance lapses, capex fraud and inflated asset valuations. Vedanta called it a malicious combination of selective misinformation and baseless allegations.

“Vedanta has been able to win back the Street's confidence by rewarding investors with dividends and firm financials. But there seems to be a bit of a governance issue, and the group needs to bridge those gaps quickly,” says Kranthi Bathini, Director–Equity Strategist at WealthMills Securities. Bathini believes Vedanta could continue its recent good show in FY26, too.

## THE ROAD AHEAD

The Street is, perhaps, looking forward the most to Vedanta's planned demerger into separate listed entities focused on aluminium, zinc & silver, oil & gas, power, and iron & steel to unlock shareholder value. “Vedanta aims to create simpler, more agile entities with greater strategic clarity. Each company will be able to focus on its core operations, make sector-specific capital allocation decisions, and attract



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### KRANTHI BATHINI

Director–Equity Strategist, WealthMills Securities



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### AMBAREESH BALIGA

Market Analyst

targeted investor interest aligned with each of their own growth trajectory,” Misra said.

The company is on an expansion drive. In the case of aluminium, Vedanta is expanding capacity at Lanjigarh alumina refinery in Odisha and Balco smelter in Chhattisgarh. HZL, too, is progressing on multiple fronts. Another tailwind, according to JPMorgan's Vibhav Zutshi, is that LME prices have bottomed out and should move higher in FY26-27.

ICICI Direct analysts Shashank Kanodia and Manisha Kesari see robust long-term prospects for Zinc India, a key cash cow that contributed about 40% to Vedanta's FY25 Ebitda. “Vedanta has maintained strong cash flows from operating activities of over ₹30,000 crore since FY22, enabling steady deleveraging, with net debt/Ebitda falling to 1.3x in FY25,” they noted.

Market Analyst Ambareesh Baliga says Q1 earnings were among the strongest, with highest Ebitda margin in 13 quarters at 35%. “The recent deferment of the demerger hearing by NCLT is a negative but Vedanta's low valuation indicates that the most negatives are priced in. The management has been focusing on debt reduction, which seems to have got an affirmation from credit rating agencies,” he says.

Vedanta's Misra says his company is betting on value-added products. The combination of lower debt, reduced interest burden, and sector-specific expansion positions Vedanta for stronger earnings visibility and long-term shareholder value creation, he says. **BT**

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